Smart Protect Essential Insurance
(Regular Premium Investment-Linked Plan)
Plan Code: 0276

PLAN DESCRIPTION

a) This product is a regular premium investment-linked policy with access to professionally managed Unit Funds with the benefit of the life insurance cover.
b) Premiums paid are used to purchase units in the Unit Fund(s). The policy value of this plan will vary directly with the performance of the Unit Fund(s).
c) This plan has no fixed term (whole life plan).
d) Annual Premium = Budgeted Premium (BuP).
e) Budgeted Premium (BuP) is the premium that you want to invest.
f) BuP = Insurance Premium + Balancer*(if any).

**Please note that going forward, BIP Investment will no longer apply. Instead, Balancer will feature, but only in the event that APILP rule fails. This means that excess BuP (due to APILP rules) will auto flow to Balancer.*

g) Insurance Premium will be "filled" first, any extra BUP will go to Balancer.
h) The 5-year projection rule will consider both Insurance Premium (Insurance Premium allocation %) and Balancer (95%) into the calculation.
i) There'll be no GSR (neither Forced GSR nor Purchasable GSR) for this product.
j) The policy will lapse if the Total Investment Value falls to zero or below.
j) Smart Protect Essential Insurance will employ a single-pricing basis, where all transactions will be based on one price only. This single price will now be known as the **Net Asset Value (NAV)**. (For information, it should be noted that the NAV is equal to what is conventionally known as the Bid Price. For single pricing, Offer Price is no longer used).
k) The items below are targeted to be implemented in February 2010.
   - New feature - Additional Sum Assured
   - New IL riders

Launch Date
7th July 2009

PLAN BENEFITS

1. Death Benefit

The Basic Sum Assured (BSA) plus Total Investment Value (TIV) will be payable upon death of the Life Assured.

In the event of death of the Life Assured before age of 5 years next birthday, 100% of TIV and the following percentage of Basic Sum Assured are payable.

Age next birthday of the Life Assured on Policy Anniversary preceding Occurrence of Death or TPD	Revised Amount of the Basic Sum Assured
1	20% of the Basic Sum Assured
2	40% of the Basic Sum Assured
3	60% of the Basic Sum Assured
4	80% of the Basic Sum Assured

Full life cover will be given from age 5 years next birthday.

2. Total and Permanent Disability (TPD) Benefit

In the event of TPD of the Life Assured between age 5 to age 65 years next birthday, the following will be payable.

a) 100% TIV is payable in one lump sum (or be retained with the Company).
b) The Basic Sum Assured not exceeding RM2,000,000 shall be paid in 3 annual instalments with the first being a lump sum of the BSA or RM1,000,000 whichever is lesser, and the balance of the BSA (if any), will be payable in two equal, annual instalments of maximum RM500,000 each.

The maximum TPD Benefit payable under this and all policies and riders on the same life, excluding Mortgage Decreasing Term Policy without Profits (with TPD Benefits), the Enhanced TPD Rider and Term Policy without Profits (with TPD Benefits), is RM2,000,000 per life.

The maximum TPD Benefit payable under this and all policies and riders on the same life, is RM 3,500,000 per life across all distribution channels.

A child lien (as per death benefit) shall apply for child before age 5 years next birthday with a maximum TPD limit of RM500,000 under this and all policies and riders on the same life.

3. Additional Sum Assured

a) The Additional Sum Assured is payable at death or TPD is:

1% x Min(Current Sum Assured, Initial Sum Assured, RM300,000) x completed policy years at death or TPD.

Note:
- Initial Sum Assured refers to Basic Sum Assured at policy commencement.
- Current Sum Assured refers to Basic Sum Assured at death or TPD.
- No additional insurance charges apply to the Additional Sum Assured.
- Basic Sum Assured will stay level throughout whole policy term, unless policyholder choose to increase or decrease sum assured

Examples:-

Scenario 1:
Initial Sum Assured = RM100,000. No increase/ decrease in sum assured. Death occurs at 4 years and 3 months.
Total Additional Death Benefit payable at death = (1% x RM100,000)x4 = RM4,000

Scenario 2:
Initial Sum Assured = RM100,000. Increase in Sum assured from RM100,000 to RM150,000 in policy year 2. Death occurs at 2 years and 6 months.
Total Additional Death Benefit payable at death = (1% x RM100,000)x2 = RM2,000

Scenario 3:
Initial Sum Assured = RM100,000. Decrease in Sum assured from RM100,000 to RM 50,000 in policy year 3. Death occurs at 3 years and 8 months.
Total Additional Death Benefit payable at death = (1% x RM50,000)x3 = RM1,500

Scenario 4:
Initial Sum Assured = RM500,000. No increase/ decrease in Sum assured. Death occurs at 4 years and 5 months.
Total Additional Death Benefit payable at death = (1% x RM300,000)x4 = RM12,000

Scenario 5:

Initial Sum Assured = RM100,000. CI Benefit Rider with Sum Assured of RM100,000 is attached. No increase/ decrease in Sum assured. CI occurs at 4 years and 3 months. Death occurs at 10 years and 5 months.

- After CI claim at 4 years and 3 months, the Additional Sum Assured of RM4,000* will be parked under 'Instalment' Account for future death / TPD claim (handled by Claims Dept). Thus, the Sum Assured will be set as RM1 in the FPMS system to maintain the policy status as "Inforce".
  **Additional Sum Assured at 4 years and 3 months = (1% x RM100,000) x 4 = RM4,000*
- Total Death Benefit payable at death = RM4,000 (with no Additional Death Benefit).

Scenario 6:
Initial Sum Assured = RM100,000. CI Benefit Rider with Sum Assured of RM80,000 is attached. No increase/ decrease in Sum assured. CI occurs at 5 years and 3 months. Death occurs at 15 years and 5 months.

- After CI claim at 5 years and 3 months, the Additional Sum Assured of RM5,000* will be parked under 'Instalment' Account for future death / TPD claim (handled by Claims Dept). The increase in Sum Assured will still apply for the remaining Current Sum Assured of RM20,000**.
  **Additional Sum Assured at 5 years and 3 months = (1% x RM100,000) x 5 = RM5,000*
  ***Current Sum Assured = Initial Sum Assured – CI Benefit Rider Sum Assured = RM100,000 – RM80,000 = RM20,000*
- Total Additional Death Benefit payable at death
  = max [(1% x RM20,000)x15, additional Sum Assured after CI claim]
  = max [RM3,000, RM5,000] = RM5,000

b) Child lien is applicable to this additional Death and TPD Benefit.
c) There are no additional insurance charges for the total additional death and TPD benefit. Thus, the calculation of Insurance Charges follows the Insurance Charge as described under the following section.
d) The Additional Sum Assured is offered to standard and substandard lives.
e) The Additional Sum Assured will apply retrospectively to existing policyholder.
f) Note that if CI Benefit Rider (U30) is attached, the Additional Sum Assured does not apply to CI Benefit Rider.

CHARGES

1. Insurance Charge

a) Basic benefit insurance charges depend on the attained age at last policy anniversary.
b) The monthly insurance charges are calculated as the sum assured times one twelfth of the risk rates corresponding to the attained age.
c) These charges will be deducted by selling units already allocated to the Policy, at the NAV on the next Valuation Date following the due date of the insurance charges.
d) Basic benefit insurance charge rates follow existing regular premium ILP basic benefit insurance charge rates.
e) The company may vary these insurance charge rates at the end of the two-year period.

2. Management Charge

a) A fund management charge will be deducted at each asset valuation before determining the NAV. Unit prices will reflect the deduction.
b) The management charge to be deducted is:

$$\frac{t}{250} \times K\% \times \text{Value of Fund}$$

where:
t = the number of business days from the preceding Valuation Date to the Current Valuation Date;

K% = the percentage charge (subject to the Investment Committee's approval) for the appropriate fund as follows:

Fund	K%
Lion Growth Fund	1.45
Lion Balanced Fund	1.00
Dana Restu	1.45
Lion Progressive Fund	1.35
Lion Fixed Income Fund	0.50
Dana Sejati	0.50
Lion Strategic Fund	1.25

c) Value of Fund refers to the value of the appropriate fund as determined by the Company.

3. Policy Fee

A monthly administration fee of RM6 will be deducted by selling units , at the NAV on the next Valuation Date, at the beginning of each policy month.

NET ASSET VALUE (NAV)

1. NAV

The price at which the policy owner buys the units in a fund and sells the units back to the fund.

2. Determination of Price

NAV of each fund are determined daily, after the valuation of the assets of that fund.

PREMIUM ALLOCATION

1. Insurance Premium

The insurance premiums are allocated to the Unit Funds at the following rates:

Premium Due and Paid	Allocation Rate %
1st and 2nd years	43
3rd and 4th years	76
5th and 6th years	85
7th and subsequent years	100

2. Single Premium Top-Up / Balancer

Allocation Rate: 95%

PREMIUM

i. Premium payment mode

Regular premium

ii. Premium mode factors

Modal premium is determined before annual premium where the annual premium is M times of the Modal premium.

Mode of Modal Premium	M
Annually	1
Half-yearly	2
Quarterly	4
Monthly	12

FLEXIBLE OPTIONS

1. Single Premium Top-ups

A policy owner can make further single premium as investment top-ups subject to the minimum of RM 1,000 each at any time provided the current year's and all previous years' Basic Investment Premium have been fulfilled.

2. Premium Increment

A policyholder can increase the regular Budgeted Premium subject to the following conditions:

a) Increase in premium can take effect from the previous or next Policy Anniversary subject to the constraints below:

Mode of Payment	Minimum Increment (RM)
Annually	600
Half-yearly	300
Quarterly	150
Monthly	50

b) The minimum and maximum sum assured limits will be recalculated automatically. If at the point of application of premium increment the current sum assured is below the revised minimum limit, the sum assured will be increased to that revised minimum limit subject to underwriting. However such underwriting could be dispensed off provided that the life assured is standard lives and the aggregate increment in sum assured over the past 12 months is not more than RM 3,000.

c) Any increase in premium will be treated as a new premium for the purpose of allocation to the Unit Funds.

3. Partial Withdrawal

Monies can be withdrawn by selling some of the units at the NAV in one or more of the invested funds subject to the following conditions:

a) If the value of the invested fund from which units are to be withdrawn is less than RM 2,000, then all units from that fund must be withdrawn and sold;

b) If the value of that invested fund is more than RM 2,000, then the minimum withdrawal amount must equal to RM 1,000 and the remaining units in that invested fund equal to RM 1,000;

c) The aggregate value of the remaining units in all funds must be at least RM 5,000.

4. Switching

A policy owner can sell units in any one fund at the NAV and purchase units in any of the other funds at the NAV, at any time after the policy has turned in force, subject to the following conditions:

a) If the value of the invested fund from which units are to be sold is less than RM 2,000, then all units from that fund must be sold;

b) If the value of that invested fund is more than RM 2,000, then the minimum amount sold to purchase units in another Unit Fund must equal to RM 1,000 and the remaining units in that original fund from which the units are sold, equal to RM 1,000.

First switch request for each year is free and the subsequent requests in the same year attract a fee of RM 25 to be payable in cash or cheque for each later switch. More than one switch can be done at one time and this will be considered as a single switch.

5. Changing Premium Apportionment

A policyholder can alter the premium apportionment at any time. After the Company receives the alteration request, the next and all future premiums will be apportioned to the Unit Funds in the new premium proportions subject to 5% of the minimum Basic Investment Premium listed in the table below:

Mode of Payment	Minimum Amount Apportionable to Each Fund (RM)
Annually	60
Half-Yearly	30
Quarterly	15
Monthly	5

UNDERWRITING

1. Minimum/Maximum Budgeted Premium(BuP)

Mode of Payment	Minimum BIP (RM)	Maximum BIP (RM)
Annually	1,200	N/A
Half-Yearly	600	N/A
Quarterly	300	N/A
Monthly	100	N/A

Basic Investment Premium comprises of Insurance Premium (IP)* and Balancer.

*Subject to balance per life limit allowable; i.e. if maximum IP + existing per life limit <= Balance of allowable IP = RM5,000 – Sum of APILP insurance premiums from all existing policies under the same life, any amount in excess of maximum IP is required will auto flow to Balancer. If Balance of allowable IP is less than RM1,200, the Life Assured is not allowed to purchase Smart Protect Essential Insurance.

Minimum/Maximum Insurance Premium (IP)

Mode of Payment	Min IP (NB) (RM)	Min IP (CS) (RM)	Maximum IP* (RM)
Annually	1,200	300	5,000
Half-Yearly	600	150	2,500
Quarterly	300	75	1,250
Monthly	100	25	416.65

*Subject to balance per life limit allowable; i.e. if Max IP = Balance of allowable IP = RM5,000 – Sum of APILP insurance premiums from all existing policies under the same life, any amount in excess of Max IP will auto flow to Balancer. If Balance of allowable IP less than RM1,200 is not allowed to purchase Smart Protect Essential Insurance.

2. Minimum/Maximum Sum Assured for Basic Benefit

New Business

Minimum: Max (SA according to Min multiple rule as per Table A below RM12,000)

Maximum: Subject to sufficiency tests whereby projected funds is sufficient to meet projected risk and other charges over a pre-specified period.

Table A

Age at Entry	LIAM Multiple Rule [Min (Balance of allowable IP, BIP) minus Riders Notional Premiums]
1 – 35	40
36 – 45	30
46 – 55	20
56 and above	10

Example:

Age Next Birthday: 30 (i.e. multiple is 40x)
Balance of allowable IP = RM5,000
BuP = RM7,000
Riders Notional Premium = RM1,000
Minimum SA = Max (40 * {[Min (RM5000, RM7000)]-RM1000}, RM12000) = RM160,000,
RM2,000 will auto transfer to Balancer, thus IP = RM5,000 for this policy

Age Next Birthday: 30 (i.e. multiple is 40x)
Balance of allowable IP = RM4,000
BIP = RM3,000
Rider Notional Premium = RM0
Minimum SA = Max (40 * {[Min (RM4000, RM3000)]-RM0}, RM12000) = RM120,000
Thus, BuP = IP = RM3,000; no Balancer in this policy.

In Force
Minimum: RM12,000
Maximum: Subject to sufficiency tests whereby projected funds is sufficient to meet projected risk and other charges over a pre-specified period.

3. Min/Max Age at Entry

Minimum : 30 days attained age
(19 years next birthday for policy ownership)

Maximum : 70 years next birthday

4. Female Rates / Non-smoker discount

Rates vary by gender and smoker status.

5. Large Sum Assured Discount

Not Applicable.

6. Non-Medical Limits

The proposal will be underwritten based on the combined Sum Assured of Basic Benefit and riders (if applicable). The non-medical limits are based on current Internal Underwriting Guidelines/Field Underwriting Manual.

7. Underwriting for Substandard Life

Follow existing practice.

CHANGES IN SUM ASSURED

Any changes in the sum assured can take effect only at the beginning of a policy month:

1. Increase in Sum Assured

Allowed up to the maximum sum assured but may require underwriting and at least 30 days notification is given to the policy month of increment to take effect.

2. Decrease in Sum Assured

Policyholder may voluntarily reduce the sum assured, subject to the minimum sum assured limits.

ALLOWANCES TO VARY CHARGES

The Company may revise the charges for existing policies in specified circumstances, up to specified limits. These charges are including *Policy Fee, Switching Fee, Management Charge and Insurance Charge Rates*.

FUND ASSET ALLOCATION

Fund Asset Allocation
Policy owner can choose to invest in one or more of:

a) **Lion Balanced Fund**
A balanced fund which invests in a mixture of equity and fixed income securities comprising convertible debt securities, redeemable debt securities, government-backed bonds/securities. The fund's exposure to equities (between 40% to 60% of the fund) will preserve the long-term purchasing power of assets.

b) **Lion Growth Fund**
This is a growth fund which invests in companies with good prospects and seeks to maximise capital appreciation over the medium to long term. The fund's allocation to equity investments is from a minimum of 70% to a maximum of 100%.

c) **Dana Restu (formerly known as Barakah Fund)**
This is a growth fund which invests in companies with good prospects and seeks to maximise capital appreciation over the medium to long term. Allocation to equity investment is between 70% to 100% of the portfolio. Dana Restu invests in Syariah-approved securities.

d) **Lion Fixed Income Fund**
Invests in government securities, corporate bonds and money market securities. The fund allocates a minimum of 40% and a maximum of 95% to fixed income securities. The aim of the fund is to preserve the capital and it appeals to risk-averse investors.

e) **Lion Progressive Fund**
This fund seeks to maximise capital appreciation over the medium to long term while reducing risk through a diversified portfolio of investments comprising equities and fixed income securities. In general, the fund invests in a minimum of 50% and up to a maximum of 90% in equities.

f) **Dana Sejati (formerly known as Mauzuun Bond Fund)**
This fund invests in Islamic fixed income instruments and money market deposits. The fund allocates a minimum of 40% and a maximum of 95% to Islamic private debt securities. The aim of the fund is to preserve capital and provide consistent return to risk-averse investors.

g) **Lion Strategic Fund**
This fund seeks to achieve medium to long-term capital appreciation while reducing risk through a diversified portfolio of investments comprising equities, fixed income securities and money market instruments. The initial equities exposure is targeted in between 55% - 75%. However, there is also a flexibility to invest entirely in fixed income securities or equities.

OTHER PRODUCT FEATURES

Surrender Values
The cash value of the policy is the total value of all the units in all the funds selected by the policy owner based on the NAV at the Next Valuation Date.

Paid-up Values / Extended Term Assurance / Policy Loans / Automatic Premium Loan / Bonus Rate / Option to Purchase New Policy
Not applicable.

RIDERS / SUPPLEMENTARY BENEFITS

Unit Deduction Riders available: -
Main Riders
a) Critical Illness Benefit Rider (U30)
b) Enhanced IL Great Income Rider (U81)
c) Smart Medic (U65 – U69)
c) IL Hospitalisation Benefit Rider (U75)

Supplementary Benefits

a) IL Accidental Death and Dismemberment Benefits Rider (U72)
b) IL Comprehensive Accident Benefits Xtra Rider (U74)
c) IL Accidental Medical Reimbursement Benefits Rider (U73)
d) IL LadyCare Rider (U58)
e) IL LadyCare Advantage Rider (U59)

Waiver and Payer Benefits

f) Enhanced IL Waiver of Premium – Dread Disease (U76)
g) Enhanced IL Waiver of Premium – Total & Permanent Disability (U77)
h) Enhanced IL Waiver of Premium Plus (U78)
i) Enhanced IL Payer Benefit (U79)
j) Enhanced IL Payer Benefit Plus (U80)

Note:

i. Please refer to the product write-up for the above riders for details.
ii. All riders will automatically terminated when the policy terminates due to any reason.

OTHER PRIVILEGES

Assignment/Third Party Policy

i. There is no restriction on assigning and this plan can be issued as Third Party policy.
ii. 5% Service Tax is applicable to all premiums including single premium top-ups paid by business organisation as third parties.
iii. The minimum age at entry for policy owners should be 19 years old (no age limit for life assured).

Free-Look Period

Policy owner is allowed to cancel the policy within 15 days. Basic Investment Premium, less medical fees incurred and adjustments to reflect the change in market value of the underlying assets, will be refunded.

Equivalently, the refund is the sum of the: -

a) Total Investment Values of the policy based on the NAV at next valuation date; and
b) The investment values of the units which have been cancelled to pay for insurance charges and policy fee; and
c) The amount of the premiums that have not been allocated;

Less

Medical expenses incurred for medical examinations, if any.

Termination of Premium Payment

Termination of premium payment does not directly result in policy termination.
The policy continues to remain in force as long as the Total Investment Value (TIV) are positive.

Policy Termination

i. Premium payment terminated or not up to date

(1) <u>On Monthly Due Dates which are not premium due dates</u>

a) When TIV is sufficient to pay the policy fee plus the insurance charge, deductions continue as normal;
b) When TIV is insufficient, Policy will lapse. The lapse date is determined on a pro-rated basis.

(2) <u>On Premium Due Dates (premium due is yet to be paid)</u>

a) When TIV is sufficient to pay rider premium, insurance charge and policy fee for the *modal period* and any outstanding debt, deductions continue as normal (no waiting for the grace period to be over) and rider premium will be deducted, if it still remains unpaid, after the grace period.

b) When TIV is insufficient in respect of the *modal period*, a grace period would be given to allow for a late payment of premium before any deduction is attempted as such:

(I) If (some or full) premium is paid during the grace period resulting in the TIV being sufficient, deducting units for payment of debt, insurance charges and policy fee and, at the end of the grace period if it is still unpaid, rider premium.

(II) If no premium is paid during the grace period, this policy will be continued in force on a pro-rated basis. Upon expiry of such pro-rated period, the policy will terminate and have no further value.

- ***Modal Period*** **means the period corresponding to premium coverage.**

ii. Premium payment up to date

(1) <u>On Monthly Due Dates which are not premium due dates</u>

a) When TIV is sufficient to pay the policy fee plus the insurance charge, deductions continue as normal;

b) When TIV is insufficient, miscellaneous debt will be extended.

(2) <u>On Premium Due Dates (premium due is paid)</u>

a) If TIV is sufficient, deductions continue as normal.

b) If TIV is insufficient,

(I) The miscellaneous debt will be extended so long as the next premium instalment is sufficient to cover insurance charges and policy fees due over the corresponding renewal modal period, after allowing for the debt expected at that time.

(II) If the next premium instalment is insufficient, the policy will be continued in force on a pro-rated basis and deemed terminated upon expiry of the pro-rated period.

EXCLUSION

The Company shall refund TIV and Investment Values of the units which have been cancelled to pay for Insurance Charges and policy fees due after the Risk Commencement Date and the amount of premiums that have not been allocated to purchase units in the event of death of the Life Assured which:

1. Resulted from commits suicide within one year from the Risk Commencement Date while sane or insane.

No payment of benefits will be made for Total and Permanent Disability which: -

2. Resulted from self-inflicted bodily injuries while sane or insane; or
3. Resulted from bodily injury sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of an International Airline operating on a regular scheduled route; or
4. Existed at Risk Commencement Date of this Policy or at the date of any reinstatement, whichever is later.